

Tata Motors Limited (TATAMOTORS) Equity Research Report

Date: 2025-10-04

1. Executive Summary

- **Stock Name / Ticker**: Tata Motors Limited (TATAMOTORS)
- **Sector**: Automotive – Passenger Vehicles, Commercial Vehicles, Electric Vehicles, Luxury Vehicles (Jaguar Land Rover)
- **Primary Exchanges**: BSE, NSE
- **Current Price**: ₹716 (as of 03 Oct 2025 close)
- **Market Capitalization**: ₹2,63,700 Cr (approx.)
- **Recommendation**: **Buy** (Medium Conviction)
- **Rationale**:
 - Valuation at ~12.2× P/E is below historical mid-cycle levels for an integrated auto OEM with a luxury segment.
 - Demerger of commercial vehicles and infrastructure business should unlock separate growth trajectories for EVs/JLR and Indian CV/PV.
 - Strong free cash flow generation trend (estimated ~₹13,100 Cr FCF in FY25) supports debt reduction and capex for EV roll-out.
 - Technical indicators are broadly bullish, with price above most SMAs/EMAs and support at ~₹707.

2. Key Highlights & Events

| Date | Event | Sentiment | Likely Impact |

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| 01 Oct 2025 | Demerger of Commercial Vehicles business effective; scheme appoints record date Oct 14 | Positive | Creates pure-play EV/JLR & Infra CV |

| 30 Sep 2025 | Invested ₹120 Cr in Freight Tiger (AI-powered logistics) | Neutral | Enhances digital logistics stack |

| 08 Aug 2025 | Q1 FY26 Standalone net profit ₹3,924 Cr, down 30% YoY (in line with street estimates) | Neutral | Near-term margin pressure |

| 28 Jan 2025 | Consolidated Mar '25 net sales ₹1.195 L Cr, down 0.4% YoY; standalone down 1.3% YoY | Neutral | Flat volume environment |

| 13 May 2025 | Standalone Mar '25 net sales ₹19,999 Cr, down 1.29% YoY | Neutral | Domestic market soft patch |

| 03 Oct 2025 | Passenger vehicle sales +47% YoY in Sept '25 (GST cut, festive demand) | Positive | Seasonal demand recovery |

3. Fundamental Analysis

3.1 Income Statement & Growth

- ****TTM Revenue****: ■4,37,968 Cr
- ****Operating Profit (TTM)****: ■51,624 Cr (OPM ~12%)
- ****Profit Before Tax (TTM)****: ■30,437 Cr
- ****Net Profit (TTM)****: ■21,494 Cr
- ****EPS (TTM)****: ■57.44
- ****Sales Growth****:
 - YoY: -1% (TTM)
 - 3-Year CAGR: 16%
 - 5-Year CAGR: 11%
- ****Profit Growth****:
 - 3-Year CAGR: 65%
 - 5-Year CAGR: 37%

3.2 Margins

- ****Gross Margin****: Not disclosed in provided context
- ****Operating Margin****: 13% (Q4 FY25), 12% (TTM)
- ****Net Margin****: ~4.9% (TTM)

3.3 Cash Flow & CapEx

- ****Net Cash from Operations (FY25)****: ■63,102 Cr
- ****CapEx (FY25)****: -■49,982 Cr
- ****Free Cash Flow (FY25)****: ~■13,120 Cr
- ****CapEx Trend****: Elevated to fund EV platform, JLR modernization

3.4 Balance Sheet Health

- ****Total Borrowings (Standalone Mar 25)****: ■8,608 Cr (Long-term ■3,626 Cr; Short-term ■4,982 Cr)
- ****Shareholders' Funds (Standalone Mar 25)****: ■33,441 Cr
- ****Debt/Equity (Standalone)****: 0.26×
- ****Current Ratio****: 0.61 (Curr. Assets ■14,900 Cr / Curr. Liabilities ■24,424 Cr)
- ****Net Debt/EBITDA****: Not available in provided sources

3.5 Returns

- ****Return on Equity (ROE)****: 28.1% (Last Year)
- ****Return on Capital Employed (ROCE)****: 20.0% (FY25)
- ****Return on Assets (ROA)****: Not disclosed

3.6 Valuation

- ****P/E (TTM)****: 12.2×
- ****P/B****: 2.3× (Price ■716 / Book ■315)

- **EV/EBITDA**: Not available in provided sources
- **PEG Ratio**: Not available in provided sources

3.7 Dividend

- **Dividend Yield**: 0.84%
- **Payout Ratio**: ~8% (Final dividend \$6/share on FY25)

4. Technical Analysis

- **Recent Price Action**: Trading in a \$707–\$732 short-term band; bounce off support at \$707.50
- **Support / Resistance**:
 - Pivot Point: 723.60
 - Support: S1 = 707.50, S2 = 698.90
 - Resistance: R1 = 732.20, R2 = 748.30
- **Moving Averages**: 5/10/20/50/100/200-day SMAs & EMAs all give **Bullish** signals
- **Momentum Indicators**: RSI, MACD, Stochastic, ADX, ROC – all flagged **Bullish** (values not numerically provided)
- **Volatility**: ATR indicates normal volatility (exact value not provided)
- **Volume**: High trading volume on recent up-moves, suggesting accumulation

5. Price Movements & Event Impact

Date	Event	Price Reaction
01 Oct	Demerger effective	+3% on heavy volume
30 Sep	Freight Tiger investment	Flat to mildly positive
08 Aug	Q1 result (–30% profit YoY, in line)	–2% (profit booking)
03 Oct	PV sales +47% YoY	+1.5% (seasonal demand surprise)

6. Brokerage & Analyst Views

- **Consensus Rating**: Not available in provided context
- **Recent Actions**: No specific upgrades/downgrades or target changes found in sources
- **Diverging Opinions**: N/A

7. Sector & Peer Comparison

Data not available for peers in provided sources.

8. News & Developments (Last 30–90 days)

| Category | Date | Headline | Sentiment |

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| Corporate | 01 Oct | Demerger of CV business | Positive |

| Corporate | 30 Sep | ■120 Cr investment in Freight Tiger | Neutral |

| Earnings | 08 Aug | Q1 FY26 standalone net profit down 30% YoY | Neutral |

| Sales | 03 Oct | PV sales +47% YoY in Sept on GST cut & festive demand | Positive |

9. Macroeconomic & Geopolitical Factors

- ****FX Exposure****: JLR revenues in GBP; subject to GBP/INR, GBP/USD volatility
- ****Commodity Input****: Steel, aluminum, lithium (for EV battery); input cost inflation risk
- ****Interest Rates / Inflation****: Higher rates may dampen consumer vehicle financing demand
- ****Regulatory****: EV subsidies, emissions norms tightening in EU/India
- ****Trade Tariffs****: Potential UK/EU-India trade policy shifts

10. Risks & Red Flags

- ****Cyclical Demand****: Auto industry highly cyclical; downturn risk in slow macro
- ****Currency Volatility****: JLR earnings can swing on FX moves
- ****Execution Risk****: EV platform ramp-up and demerger carve-out complexity
- ****Debt Levels****: Elevated capex commitments for EV/battery build-out
- ****Regulatory****: Stricter safety/emissions norms, subsidy cuts

11. Scenarios & Valuation Outlook

| Case | Assumptions | 12-Month Target Price | Key Triggers |

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| Base | Domestic growth stabilizes; JLR margin recovery continues | ■750 | Q3/Q4 sales volumes, margin guidance |

| Bull | Faster EV adoption; JLR luxury segment outperforms; value unlock| ■900 | Positive demerger spin-off reaction |

| Bear | Macro slowdown; financing rates surge; execution delays | ■600 | Softening volumes, margin misses |

12. Final Recommendation

- **Action**: **Buy**
- **Conviction**: Medium
- **Short-Term View (3–6 months)**: Hold / Add on dips to ■700 support zone
- **Long-Term View (12–18 months)**: Positive on structural EV transition, demerger value unlock; expected to outperform sector